

Configuring Cost Centres

User Guide

Access Limited Distributions

Payroll

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Document Control

Version	Date	Author	Details
1.0	30 th Nov 2019	Brian O'Keeffe	Published to Access LMS
1.1	1 st Nov 2022	Isabelle Grey	Updated guidance for Modern UI screens.
1.2	23 rd Jan 2025	James Martin	Formatting Updates

1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how to configure Cost Centres which can be assigned to an employee's costs.

Items covered include:

- How to add a Cost Centre.
- How to edit a Cost Centre.
- How to disable a Cost Centre.

1.2. What are Cost Centres?

A cost centre is a unit within your company, to which costs may be allocated for cost accounting purposes. These should be in line with the cost centres set up in your financial system. A cost centre is a code to which an employee's costs (salary, expenses etc.) are charged. Points to note:

- The cost centre codes are interfaced into your Financial Management System (FMS).
- Each employee is assigned a cost centre associated with their contract when they are set up in HR.
- PeopleXD system also provides the option to configure additional/alternative cost centres to be used to charge the employees' costs.

Cost Allocations, Timesheet Current Period, and Pay Code configuration allow you to allocate an employee's pay to a cost centre(s) other than what is on the employee's contract.

For example, a marketing executive has his/her costs assigned to a marketing cost centre.

However, that employee is asked to cover for a sales executive to cover a period of leave. The company can re-assign their salary / costs to the sales department for the duration of that period.

Payroll: Configuring Cost Centres

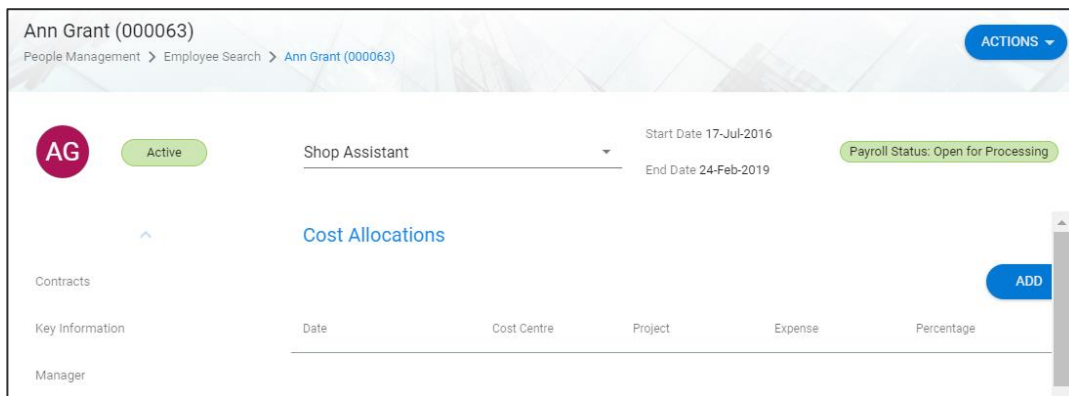
Cost Centres are assigned to employee contracts in People Management either:

- See People Management user guides.
- Via Cost Allocations.

People Management > Employees > View Dashboard > Cost Allocations.

Note:

Further information on cost centres and on how pay elements are costed is available from the *Integration with Financial Management System* user guide.



Ann Grant (000063)
People Management > Employee Search > Ann Grant (000063)

AG Active Shop Assistant Start Date 17-Jul-2016 End Date 24-Feb-2019 Payroll Status: Open for Processing

Cost Allocations

Date	Cost Centre	Project	Expense	Percentage
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Contracts

Key Information

Manager

ADD

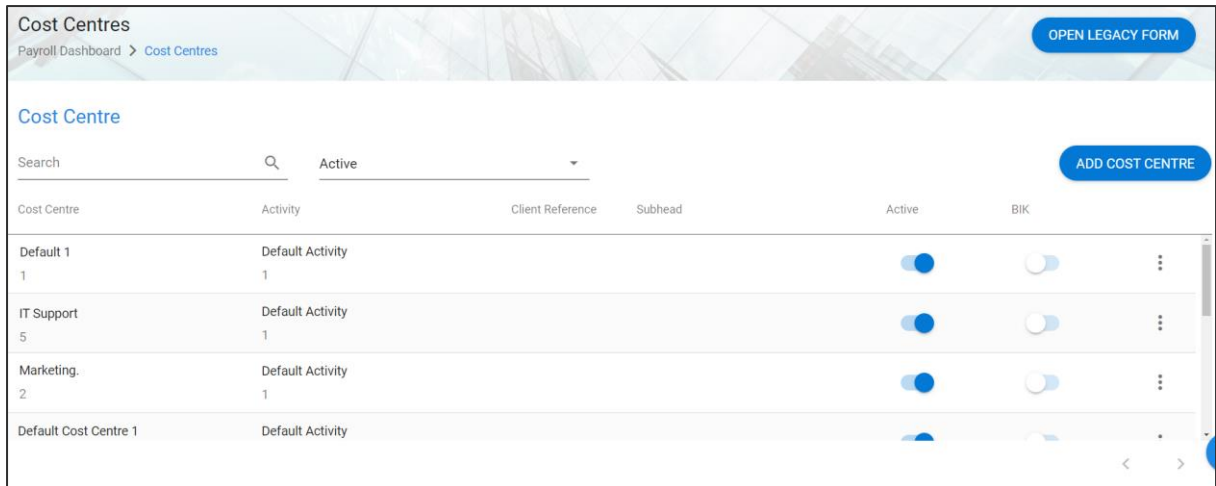
2. Maintain Cost Centres

2.1. The Cost Centres Screen

A client may have many cost centres to which they want to assign an employees' costs / salary, i.e. they may choose to configure a cost centre for each department.

To access the Cost Centres screen:

1. Go to *Settings > General Ledger Costing > Cost Centres*.



Cost Centre	Activity	Client Reference	Subhead	Active	BIK
Default 1 1	Default Activity 1			☒	☐
IT Support 5	Default Activity 1			☒	☐
Marketing 2	Default Activity 1			☒	☐
Default Cost Centre 1	Default Activity			☒	☐

Each Cost Centre displays the following fields:

- Cost Centre
 - Description
- Activity
 - Description
- Client Reference
- Subhead
- Active Indicator
- BIK Indicator

2.2. Add a Cost Centre

To add a new Cost Centre:

1. Go to *Settings > General Ledger Costing > Cost Centres*.
2. Click **Add Cost Centre**.
3. Enter a unique **Cost Code** (Maximum 13 characters).
4. Add a description in the **Cost Centre Description** field. (Maximum of 30 characters).
5. Enter optional details:
 - a. **Activity Code**
 - b. **Client Reference** (Maximum 13 characters).
 - c. **Sub Heading**
6. Click **OK**
7. Enable the **Active Indicator** to activate/de-activate cost centres as required.
8. Enable the **BIK Indicator** to mark the cost centre as BIK.

2.3. Edit a Cost Centre

To edit a Cost Centre:

1. Go to *Settings > General Ledger Costing > Cost Centres*.
2. Click the relevant 3 dot menu.
3. Click **Edit**.
4. Update the relevant data.
5. Click **OK**.
6. Enable/disable the relevant indicators.

2.4. Disable a Cost Centre

To disable a Cost Centre:

1. Go to *Settings > General Ledger Costing > Cost Centres*.
2. Disable the **Active Indicator**

3. Menu Options Required

The following menu option is required for an employee to access the *Cost Centre* screen from the Settings tab.

System	Menu Option
CorePortal Pay	Settings – Cost Centre